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II Very short answer questions

1. Define book-keeping.
2. What is meant by accounting concepts?
3. Briefly explain about revenue recognition concept.
4. What is "Full Disclosure Principle" of accounting.
5. Write a brief note on 'Consistency' assumption.

III Short answer questions

1. What is matching concept? Why should a business concern follow this concept?
2. "Only monetary transactions are recorded in accounting". Explain the statement.
3. "Business units last indefinitely". Mention and explain the concept on which the statement is based.
4. Write a brief note on Accounting Standards.



Magesh started a new trading business. He buys and sells packing materials. He wants to be honest in doing his business. He has plans to establish his business in the future. He has little accounting knowledge but has excellent business skills. At the end of his first year of trading, he wanted to value his closing stock. He finds some of the goods are damaged. If he wants to sell them, then he has to spend some amount for making them in a saleable condition. He also takes some money from his business bank account for his personal use. But, he forgot to record that.

Now, discuss on the following points

- Does every businessman need accounting knowledge?
- Identify some of the accounting concepts in this case study.
- How should his closing stock be valued?
- Is it possible for him to compare his business results with that of his competitors?

To explore further

Is it possible to compare the accounting records of an Indian company with that of an International company? Do all the countries follow the same accounting practices?

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